



Commission Agenda Report

City of Kalamazoo

TO: Mayor Hopewell, Vice Mayor Knott, and City Commissioners

FROM: James K. Ritsema, ICMA-CM, City Manager

REVIEWED BY: James J. Baker, PE, Public Services Director and City Engineer

PREPARED BY: James H. Cornell, Wastewater Division Manager

DATE: 12/6/2017

SUBJECT: Wastewater and Storm Water Asset Management Grant Engineering Professional Services

RECOMMENDATION

It is recommended that the City Commission approve a multi-year professional services agreement with Prein & Newhof, Inc. for professional engineering services associated with the City's wastewater and storm water asset management program in the amount of \$2,000,000.

BACKGROUND

The asset management plan (AMP) is a requirement of the National Pollution Discharge Elimination System (NPDES) permit issued to the City of Kalamazoo in 2016. The City of Kalamazoo recently received a \$2,000,000 grant from the State of Michigan which includes \$1,358,937 for wastewater and \$641,064 for the storm water asset management program activities.

Prein & Newhof has worked with the City of Kalamazoo on the grant application, the development of the Wastewater Asset Management Plan, the development of the Water Asset Management Plan, the development of the drinking water system hydraulic model and has mapped and geo referenced the entire drinking water, storm water and sanitary sewer systems. Prein & Newhof has worked with the Townships within Kalamazoo County doing condition assessments of their wastewater and storm water assets. Prein & Newhof are also a pre qualified vendor.

COMMUNITY RESOURCES CONSULTED

This recommendation did not require advisory board consultation or additional public input.

FISCAL IMPACT

Funds have been budgeted in the Public Services 2018 capital projects, and are reimbursable from the State of Michigan on a monthly basis. This grant does not require a local match and is funded at 100%.

ALTERNATIVES

The selection of another qualified engineering firm is an alternative to the recommended action.

ATTACHMENTS:

	Type	Description
▣	Proposal	SAW Grant Proposal
▣	Aerial Photo	Prein & Newhoff_SAW_2017

Agreement Between Owner and Engineer

THIS AGREEMENT made as of this _____th day of _____, 2017, between
OWNER: City of Kalamazoo and ENGINEER: Prein&Newhof, Inc.

FOR THE FOLLOWING PROJECT: City of Kalamazoo Asset Management Plan

ENGINEER will provide professional engineering services for OWNER in connection with the Project and will serve as OWNER'S professional engineering representative on the Project.

The OWNER and ENGINEER agree as set forth below:

1. Agreement Commencement. ENGINEER shall commence to provide services under this agreement upon written authorization of OWNER. OWNER may authorize ENGINEER to proceed with specific services prior to OWNER being awarded an Asset Management Grant by the Michigan Department of Environmental Quality SAW program. Said services shall be rendered and invoiced in accordance with this agreement. If, by the end of the SAW Grant program as determined by the MDEQ, the OWNER has not been awarded a SAW Grant, this contract shall be terminated.
2. Services of ENGINEER. ENGINEER will provide professional services to develop an Asset Management Plan in accordance with the City of Kalamazoo SAW Application dated December 2, 2013, including the budget amendment accepted by MDEQ on August 8, 2017.
3. Engineering Fees.
 - a. OWNER agrees to pay ENGINEER in accordance with the progress of the services (percent complete) by project phase as defined below.

Services Phase	Total Fee
Pre-Application Costs	\$5,300
Inventory/Data Collection	\$141,723
Condition Assessment	\$535,925
Level of Service	\$9,795
Risk/Consequence	\$110,717
Asset Management Plan	\$245,400
Metering/Modeling	\$278,858
Mapping (Equipment)*	\$13,000
Cleaning/Televising*	\$640,526
Level of Service (Admin.)	\$0
MACP/PACP Training	\$12,240
Rates/User Charge Dev.*	\$6,516
Total	\$2,000,000

* At OWNER's option, P&N sub-contractor can provide direct billing to OWNER.

- b. Services performed and expenses incurred by ENGINEER will be invoiced on a monthly basis. The invoice shall indicate the progress of the services and monthly billings will

include all expenses and subconsultant costs. Should full payment not be received within 30 days of the date of invoice, the amount due shall bear interest at the rate of one and one-half percent (1 1/2%) per month until paid, plus the cost of collection and attorney fees.

- c. OWNER agrees that payment to ENGINEER is not contingent upon receipt of reimbursement from the State of Michigan.

4. Administration of Field Services.

- a. ENGINEER will make visits to the site at intervals appropriate to the stages of the project to observe any services provided by others, to become generally familiar with the progress and quality of those services, and to determine in general if those services are proceeding in accordance with the project schedule.
- b. ENGINEER shall not have control or charge of and shall not be responsible for means, methods, techniques, sequences, or procedures, or for any safety precautions and programs in connection with the services by anyone other than direct employees of ENGINEER, for the acts or omissions of Subconsultants, or any other persons performing any of the services, or for the failure of any of them to carry out the services in accordance with the contract documents.

5. OWNER'S Responsibilities.

- a. OWNER shall furnish to ENGINEER all utility record drawings, investigatory data, mapping (hard copy or digital media), and other information regarding utility location, material, age, condition, and other pertinent information in the OWNER's possession.
- b. OWNER shall provide ENGINEER access to secured assets such as pump stations, fenced/gated areas, buildings, mechanical areas, or other assets to be located and/or inspected.

6. Electronic Data Files.

- a. Ownership: ENGINEER will provide OWNER with copies of electronic data for GIS mapping and GIS data base files. Both ENGINEER and OWNER shall retain ownership of finished product files. ENGINEER shall retain sole ownership of data and files in the development of finished product files.
- b. Files will be compatible with ESRI ArcGIS, Microsoft Excel, and the Microsoft Windows operating system in use at the time by ENGINEER. ENGINEER makes no representation as to the compatibility of these files beyond those specifications. OWNER agrees to hold ENGINEER harmless for uses of the file data outside or beyond the scope of this agreement.
- c. Data stored on electronic media can deteriorate undetected. OWNER is responsible for determining the readability of the media upon receipt and has ten (10) calendar days from the dated transmittal to notify ENGINEER if media is unreadable. Also, since data stored on electronic media can be modified and/or be used to generate additional data without ENGINEER'S knowledge, any modifications made to the data and/or additional data generated from the original data by OWNER will be at OWNER'S own risk. ENGINEER agrees that it is responsible for the accuracy of the sealed documentation that accompanies the submittal, in accordance with the standard of care described below.

7. Limitation of Liability.

- a. OWNER and persons claiming through OWNER agree to limit the liability of ENGINEER, its agents and employees, for all claims arising out of, in connection with, or resulting from, the performance of services under this Contract to the amount of fees paid to ENGINEER.

- b. OWNER acknowledges that ENGINEER is a corporation and agrees that any claim made by OWNER arising out of any act or omission of any director, officer, or employee of ENGINEER, in the execution or performance of this Agreement, shall be made against ENGINEER and not against such director, officer, or employee.
 - c. OWNER further acknowledges that ENGINEER has not agreed to provide and is not responsible for safety precautions and programs in connection with the Project or the services, including but not limited to signs, markings, barricades, temporary or permanent traffic control markings or devices, or temporary or permanent warning signs, devices, or markings except those needed for services provided by ENGINEER's direct employees.
8. Disclaimer of Warranties. Nothing contained in this Agreement shall require ENGINEER to exercise professional skill and judgment greater than that ordinarily used by members of ENGINEER'S profession practicing under similar conditions at the same time and in the same locality. ENGINEER makes no warranties, expressed or implied, under this agreement or otherwise, in connection with ENGINEER'S services.
9. Binding Effect. This Agreement shall be binding upon and shall inure to the benefit of the parties hereto and their respective heirs, administrative representatives, successors, and assigns. The Agreement may not be modified except in writing signed by the Party against whom a modification is sought to be enforced.
10. Termination for Cause. This contract may be terminated by either party with seven (7) days written notice to the other party if the other party fails to perform its obligations under this contract after being requested to do so. ENGINEER shall be paid for its fees in accordance with this contract prior to termination.
11. Additional Services. Additional services beyond the scope of this Agreement will only be performed after there is a written agreement to do so with the total fee adjustment included.

WITNESSES:

Ben G. Vincent
Ben G. Vincent

OWNER: City of Kalamazoo

By: _____

Its: _____

ENGINEER: PREIN&NEWHOF, INC.

By: _____

Its: _____

[Signature]
President

December 13, 2017
2130292

Mr. Jim Cornell
City of Kalamazoo
Department of Public Services
1415 Harrison Street
Kalamazoo, MI 49007

RE: MDEQ SAW Grant

Dear Jim:

Attached is the budget breakdown for the proposed SAW Grant Asset Management Plan work. We will provide professional services to develop an Asset Management Plan in accordance with the City of Kalamazoo SAW Application dated December 2, 2013, including the budget amendment accepted by MDEQ on August 8, 2017.

As noted in our conversations, work scope is flexible as well as line item budget allocations within either the Stormwater or Wastewater categories. MDEQ will not allow transfer of AMP funds between the stormwater and wastewater categories. Also, there is a limit on the mapping/equipment component, but there are no other limitations on shifting budget items.

It is anticipated that if the City performs direct work that is included in reimbursement requests (you can charge the project for direct hourly rates x 1.4), we will reduce our P&N budgets to keep the overall SAW budget on the \$2,000,000 limit. The same goes for any subconsultants you pay directly (such as cleaning and televising subs). Your SAW Grant currently has the following line item budgets.

Services Phase	Total Fee
Pre-Application Costs	\$5,300
Inventory/Data Collection	\$141,723
Condition Assessment	\$535,925
Level of Service	\$9,795
Risk/Consequence	\$110,717
Asset Management Plan	\$245,400
Metering/Modeling	\$278,858
Mapping (Equipment)*	\$13,000
Cleaning/Televising*	\$640,526
Level of Service (Admin.)	\$0
MACP/PACP Training	\$12,240
Rates/User Charge Dev.*	\$6,516
Total	\$2,000,000

* At OWNER's option, P&N sub-contractor can provide direct billing to OWNER.

Please note that after James Baker and I met with MDEQ, the City received a determination of disadvantaged status which means the City has 0% match required for grant and will therefore receive 100% reimbursement of cost up to \$2,000,000.

Thank you for consideration of our services and please contact me if you need any additional information.

Sincerely,

Prein&Newhof

A handwritten signature in blue ink that reads "Brian G. Vilmont". The signature is written in a cursive, flowing style.

Brian G. Vilmont, P.E.

enc: Line item budget sheets

bgv

City of Kalamazoo SAW Grant Asset Management Planning & Budgeting Worksheet Wastewater Collection System Sheet Status - Final Engineers Cost Estimate : Prein & Newhof		
Task	Method	Total Cost
TOTAL COSTS		\$1,358,937
PRE-APPLICATION COSTS		\$5,300
Work plan development (PN proposal)		\$5,300
INVENTORY - DATA COLLECTION		\$65,559
Manholes		
	Handheld GPS	\$11,253
Mapping Manholes from Survey or Handheld	Import	\$279
Mapping using Aerial or other overlays	Graphical from Aerial or other maps	
Pipes - all in office work	GIS line work	\$10,996
Pump Station		
ID location	Handheld GPS	\$2,290
Linking data to GIS - O&M manuals, etc.		\$11,040
Other Assets		\$1,640
Special Features		\$3,400
Scan/Link Documents	GIS linking of as-builts to maps	\$14,295
Internal Meetings		\$5,100
Client Meetings		\$2,516
Project Management and internal coordination		\$2,750
CONDITION ASSESSMENT		\$399,721
Manholes and Pipes		
Field Review	Visual and zoom camera	\$169,360
Office review - Condition Rating Input	Data Review	\$114,000
Pump Station - Submersible/Can	includes all components	\$18,680
Pump Station - Drywell/Wet well below grade	includes all components	\$0
Pump Station - Drywell/Wetwell with building	includes all components	\$30,829
Pump Station - Major station	includes all components	\$17,696
Condition Assessment based on Owner provided video		\$0
Assessment Mapping		\$1,950
Assessment Review	per foot of pipe	\$29,454
Internal Meetings		\$6,460
Client Meetings		\$5,652
Project Management and internal coordination		\$5,640
LEVEL OF SERVICE - Physical Asset Evaluation		\$4,477
Review Capacities		\$1,492
Review breakage/repair demands		\$1,492
Input level of service ratings		\$1,492
RISK/CONSEQUENCE		\$74,941
Risk of failure Evaluation	Review Asset failure modes, condition, and LOS	
Manholes and Catch Basins	Based on structure type and condition rating	\$6,307
Pipes	Data Review	\$3,731
Pump Station - Submersible/Can	includes all components	\$2,336
Pump Station - Drywell/Wet well below grade	includes all components	\$1,752
Pump Station - Drywell/Wetwell with building	includes all components	\$714
Pump Station - Major station	includes all components	\$0